

“If one were to lead a stranger through the streets of Amsterdam and ask him where he was, he would answer ‘among speculators.’”

Joseph Penso de la Vega
Confusion of Confusions (1688)

economy, at the same time investment was required to cover the considerable costs of overseas expeditions. A trading voyage to Asia in the 17th century was a very risky venture—the potential profits were high, but storms at sea, pirates, warfare, or an accident could lead to the loss of a ship, crew, or cargo and wipe out all the profits. It therefore made sense for many people to invest in each voyage and spread the risk, rather than one entity shouldering all the costs and responsibilities. Private trading companies were set up, each investing a small amount in a larger whole, and all being well they would then receive a commensurate share of the profits.

Birth of the Exchange

In 1602, these trading companies merged to form the Dutch East India Company, and shares in the enterprise were allocated at the new Stock Exchange in Amsterdam. It was established at the outset that the owners could buy and sell these shares, and very quickly other companies were listing their own shares on the Stock Exchange in order to raise money. The ease of buying and selling shares meant that the Stock Exchange became very busy indeed, fueling the growth of capitalism in this part of Europe; increased investment resulted in more industry, which then led to further investment and the generation of greater wealth.

A history of trading

The Amsterdam Stock Exchange did not develop in a vacuum. Buying and selling securities—tradable financial assets such as shares—already had a long history in Europe. By the 14th century, possibly earlier, merchants in rich Italian trading

Batavia was the headquarters of the Dutch East India Company in Asia. The port city was founded by the Dutch in 1619, after razing the existing city of Jayakarta to the ground.

